

**SECTION B – WRITTEN QUESTIONS (Total: 80 marks)**

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 80% of the total marks for this examination.

**Question 1 (33 marks – approximately 60 minutes)**

Ben, Ada, and Jade were in a partnership sharing profit and loss at a ratio of 2:2:1. The following balances relate to BAJ Partnership as at 30 September 2020:

|                                                    | HK\$              | HK\$              |
|----------------------------------------------------|-------------------|-------------------|
| Capital account                                    |                   |                   |
| - Ben                                              |                   | 1,000,000         |
| - Ada                                              |                   | 1,000,000         |
| - Jade                                             |                   | 1,000,000         |
| Current Account                                    |                   |                   |
| - Ben                                              |                   | 234,500           |
| - Ada                                              |                   | 225,800           |
| - Jade                                             |                   | 205,000           |
| Drawings                                           |                   |                   |
| - Ben                                              | 50,000            |                   |
| - Ada                                              | 40,000            |                   |
| - Jade                                             | 50,000            |                   |
| Trade payables                                     |                   | 456,800           |
| Furniture and equipment                            | 11,560,000        |                   |
| Motor vehicles                                     | 1,200,000         |                   |
| Accumulated depreciation, at 1 October 2019        |                   |                   |
| Furniture and equipment                            |                   | 3,180,000         |
| - Motor vehicles                                   |                   | 320,000           |
| Trade receivables                                  | 678,000           |                   |
| Inventory, at 1 October 2019                       | 569,000           |                   |
| Cash at bank                                       | 488,000           |                   |
| Sales                                              |                   | 7,310,000         |
| Purchases                                          | 2,225,000         |                   |
| Carriage inwards                                   | 334,000           |                   |
| Carriage outwards                                  | 465,000           |                   |
| Salaries                                           | 769,000           |                   |
| Rent and rates                                     | 593,000           |                   |
| Bank loan interest                                 | 60,000            |                   |
| Utilities                                          | 432,400           |                   |
| Sundry expenses                                    | 124,200           |                   |
| Commission income                                  |                   | 680,500           |
| Allowance for impairment loss on trade receivables |                   | 25,000            |
| 3% Bank loan                                       |                   | 4,000,000         |
|                                                    | <u>19,637,600</u> | <u>19,637,600</u> |

Additional information:

- (1) The cost and net realisable value of inventory were HK\$432,000 and HK\$454,000 respectively as at 30 September 2020.
- (2) The following information is available for tangible non-current assets:
  - BAJ Partnership adopts the cost model for all tangible non-current assets.
  - Furniture and equipment are depreciated on a straight-line basis over their estimated useful economic life of 20 years.
  - The partnership disposed a piece of equipment for cash at HK\$1,560,000 on 1 October 2019. The cost and accumulated depreciation of the equipment was HK\$2,600,000 and HK\$1,132,000 respectively. This transaction was completely omitted in the books of the partnership.
  - Motor vehicles are depreciated using the reducing balance method at 10%.
- (3) Salaries of HK\$78,000 were still not yet paid and recorded at 30 September 2020, while a commission income of HK\$88,000 for the four months from September 2020 to December 2020 was settled and recorded in the account on 28 September 2020.
- (4) BAJ Partnership performs impairment assessment on trade receivables at the end of each year, and the allowance for impairment loss on trade receivables at 30 September 2020 was assessed at HK\$29,000.
- (5) The bank loan was borrowed on 1 October 2019 and is to be repaid in full in 2025. Interest for the second half year was still not yet paid and recorded.
- (6) According to the partnership agreement, the partners agreed that:
  - Each partner is charged 2% interest on their drawings;
  - Each partner receives 4% interest on their capital contribution; and
  - Ada and Jade are paid with an annual salary of HK\$300,000 and HK\$400,000 respectively.

However, no record has been made in the books of the partnership yet.

- (7) There was no other comprehensive income in the year ended 30 September 2020.

**Required:**

- (a) **Prepare the statement of profit or loss and other comprehensive income for the year ended 30 September 2020 for BAJ Partnership.**  
(15 marks)
- (b) **Prepare the appropriation account for the year ended 30 September 2020 for BAJ Partnership.**  
(4 marks)
- (c) **Prepare the statement of financial position as at 30 September 2020 for BAJ Partnership.**  
(14 marks)

**Question 2 (9 marks – approximately 16 minutes)**

Gateway Online Mall was established a month ago with the vision of providing a 24-hour online supermarket in Hong Kong. The Chief Executive Officer (CEO) has just recruited you as an accountant with the principal task of setting up an accounting system for the company, and has proposed the following treatments for your consideration:

- (1) To save storage space, Gateway Online Mall adopts a "just-in-time" inventory system. Goods are purchased and delivered from suppliers only when a customer's order is placed. In view of this, the CEO proposes to net off the invoiced price with cost of goods for each transaction and to record only the profit amount in the accounting records.
- (2) Since the majority of the transactions of the company are settled on a credit basis, to simplify the accounting treatments, the CEO also proposes that all transactions should be recorded based on the date when cash is received or paid.

**Required:**

**State and explain which of the accounting basis/ concepts have been violated, and suggest the appropriate accounting treatment to the CEO of Gateway Online Mall.**

**(9 marks)**

**Question 3 (24 marks – approximately 43 minutes)**

On 5 March 2021, the account manager of CoWork Limited received the draft of financial statements as at 31 December 2020. He found that the company made a profit of HK\$1,780,000 for the year but a suspense account was shown under the current assets of the statement of financial position. He was quite surprised and asked his assistant manager to examine the accounting records. Upon further investigation, it was found that the following mistakes were made in the accounts:

- (1) The company purchased a motor vehicle for HK\$450,000 on 1 October 2020 and a car loan at an interest rate of 6% per annum was established on the same date. However, the company debited the purchases account and credited the suspense account. CoWork Limited depreciates the motor vehicle using a reducing balance method at a depreciation rate of 20% per annum. Depreciation is charged in a pro-rata basis.
- (2) The sales journal had been undercast by HK\$5,000.
- (3) Rent payment of HK\$40,000 had been incorrectly recorded in the utility account.
- (4) One of the customers settled his outstanding balance of HK\$66,000 through bank transfer.  
The company had completely reversed the double entries in the books.
- (5) Return of goods to supplier amounting to HK\$12,000 was correctly recorded in the returns outwards account but was incorrectly recorded in the trade payables subsidiary ledger as HK\$21,000.

**Required:**

- (a) **Prepare the journal entries (with narratives) to correct the above errors. (No control accounts were maintained.)**  
(20 marks)
- (b) **Compute the revised profit for CoWork Limited for the year ended 31 December 2020. Show all your workings.**  
(4 marks)

**Question 4 (14 marks – approximately 25 minutes)**

Walton Limited received a bank statement issued by Hong Kong Bank on 6 November 2020 and found that the monthly balance as at 31 October 2020 did not agree with the company's bank account balance on the same date. In the cash book of Walton Limited, the bank account had a balance of HK\$4,500. The accountant of the company discovered the following:

- (1) Cheques received amounting to HK\$103,500 were put inside a cheque box of the bank on Saturday and had been processed by the bank on 2 November 2020.
- (2) The accounts clerk drew cheques amounting to HK\$45,000 for settlement of invoices with suppliers, but these cheques were received and banked by suppliers after 2 November 2020.
- (3) On 31 October 2020, Hong Kong Bank informed Walton Limited that a cheque received from a customer for HK\$56,000 was returned and marked "Non-sufficient Fund". The company had not yet recorded the return of this cheque in the cash book.
- (4) A payment of electricity for HK\$7,000 had been entered in the opposite side of the cash book.
- (5) A cheque drawn for HK\$5,800 in payment of utilities had been entered in the cash book as HK\$4,500.
- (6) The credit side of the cash book had been overcast by HK\$42,000.
- (7) It was found that Hong Kong Bank had mistakenly recorded a receipt of HK\$5,000 into the account of Walton Limited. However, this receipt belonged to another client - Walter Limited. This receipt should be recorded in the bank account of Walter Limited instead of Walton Limited.

**Required:**

- (a) Prepare the bank ledger account of Walton Limited for October 2020. (7 marks)
- (b) Prepare a bank reconciliation statement for Walton Limited as at 31 October 2020. (7 marks)

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